

Document 38. Macro Policy Mix Decision Tree — Diagnose, Then Prescribe

Purpose. Every macro essay asks “what policy?” This document gives you a reproducible diagnostic procedure: identify the problem, classify it, then read off the policy mix. Singapore-specific by default.

Principle. The right policy depends on the *type* of problem (AD-side vs AS-side, short-run vs long-run, internal vs external). Mis-diagnosis is the most common essay mistake. Always classify before prescribing.

Section A. Step 1 — Diagnose the Problem

Trigger questions: (i) Is the trigger demand-side or supply-side? (ii) Short-run cyclical or long-run structural? (iii) Domestic or external in origin? (iv) Which macro aim is breached — growth, employment, prices, BOP?

Symptom	Likely cause	Implication
$P \uparrow + Y \uparrow + U \downarrow$	Demand-pull ($AD \rightarrow \text{right}$)	Tighten AD; possibly capacity-build long-run
$P \uparrow + Y \downarrow + U \uparrow$ (stagflation)	Cost-push ($SRAS \rightarrow \text{left}$)	Supply-side priority, demand support cautious
$P \downarrow + Y \downarrow + U \uparrow$	Deflationary AD shock	Expansionary AD policy; avoid spiral
$Y \downarrow$ but trend Y^* unchanged	Cyclical AD fall	Fiscal/monetary stimulus
Y_a persistently $< Y^*$	Structural / hysteresis	Supply-side (retraining, R&D)
CA deficit + S\$ depreciation	External imbalance	Expenditure-switching (depreciation) + supply-side; verify Marshall–Lerner
CA surplus + S\$ appreciation pressure	External surplus	MAS may slow appreciation; absorb via NIRC, structural
Inequality + average growth ok	Distributional	Inclusive growth: Workfare, ProgressivePackage, CPF top-ups

Section B. Step 2 — Choose AD-Side vs AS-Side

AD-side appropriate when: the gap is cyclical (Y_a below Y^*); the problem is short-run; spare capacity exists; speed matters.

AS-side appropriate when: problem is structural / long-run; aim is to raise Y^* itself; trade-off between inflation and growth needs to be eased; problem is cost-push not demand-pull.

Both together when: sustained growth required ($AD \uparrow + LRAS \uparrow$); inflation expectations need anchoring while economy grows; cost-push requires SS *plus* household income support.

Section C. Step 3 — The Singapore Policy Toolkit

Lever 1: Monetary — MAS exchange-rate policy.

- Tighten (steeper slope / re-centre up): combat imported inflation. Used Apr 2022, Oct 2022.
- Ease (flatter slope / re-centre down): support exports during downturn. Used Apr 2020 (COVID).
- Neutral (zero appreciation): stable conditions.

Lever 2: Fiscal — expenditure or tax.

- Expansionary $G \uparrow$: Resilience Budget (2020), Solidarity & Fortitude packages. JGI for employment.
- Contractionary $T \uparrow$: GST hike to 9% Jan 2024 (long-run fiscal sustainability).

- Automatic stabilisers: progressive income tax, Workfare, ComCare.

Lever 3: Supply-side — structural.

- Labour: SkillsFuture (retraining), foreign workforce policy, immigration.
- Capital: PSG (productivity grants), EDB incentives, R&D tax credits.
- Tech: RIE2025, AI Singapore, GovTech, IMDA.
- Institutions: FTAs (USSFTA, RCEP, CPTPP), regulatory ease (BizFile).

Lever 4: Microeconomic / corrective.

- Externality tax: carbon tax S\$25/tCO₂e (2024), rising to S\$45 by 2026; tobacco/sugar taxes.
- Subsidy: HDB grants, MediShield Life, ChildCare subsidies.
- Regulation: COE, MOM employment law.

Section D. Step 4 — The Decision Tree (Visual)

Q1. Is the problem demand-side or supply-side?

Demand → Q2. Supply → Q3.

Q2 (demand). Excess (inflation) or deficient (recession)?

Excess → Tighten MAS + restrain G + (if imported) appreciate.

Deficient → Ease MAS + expand G + maintain CPF support.

Q3 (supply). Short-run cost shock or long-run structural?

Short-run cost shock → targeted subsidies + supply-side; MAS appreciation if imported.

Long-run structural → SkillsFuture + R&D + FDI + infrastructure.

Q4 (external). Is the imbalance CA or capital?

CA deficit → verify Marshall–Lerner; supply-side comp adv; expenditure-switching.

CA surplus → NIRC absorbs; structural reform; let S\$ appreciate.

Q5 (distributional). Is the issue inequality despite average growth?

Yes → Workfare, ProgressivePackage, CPF top-up, education subsidy.

Section E. Step 5 — Apply the C-E-F Evaluation Test

For every recommended policy in an essay, evaluate:

Conditional: effectiveness depends on what? (PED, MPC, time-lag, openness)

Empirical: what evidence from extract or Singapore data supports the choice?

Frame: does the policy address SR or LR? Does it conflict with other macro aims?

Section F. Worked Example — Imported Inflation 2022

Diagnose. Oil + commodity prices ↑ (Ukraine war) ⇒ SRAS→left + imported inflation channel. P↑, Y growth slows, S\$ depreciation amplifies.

Classify. Supply-side, short-run, external in origin.

Prescribe (mix).

1. *Lever 1 — MAS:* two off-cycle appreciations (Jan 2022, Jul 2022) + April & Oct meetings, steepening slope of S\$NEER band ⇒ cheaper imports ⇒ lower imported CPI.
2. *Lever 2 — Fiscal:* Household Support Package, GST Voucher U-Save, CDC vouchers ⇒ cushion real income; one-off, targeted, non-inflationary.
3. *Lever 3 — Supply-side:* energy efficiency grants, productivity grants ease cost pressures medium-run.
4. *Lever 4 — Micro:* no new externality tax (timing-sensitive); carbon tax already scheduled to rise.

Evaluate (C-E-F). Conditional on global commodity stability; empirical from MAS Macroeconomic Review showing CPI core peaking Q1 2023; frame: SR cost-push, no permanent LRAS damage if shock unwinds.

Conclusion stance. “*On balance, MAS appreciation supplemented by targeted fiscal transfers was the appropriate mix, conditional on the shock being transient and on Marshall–Lerner holding so that appreciation does not unduly damage X competitiveness.*”

Final principle. Never recommend a single policy. Always present a *mix*, justify each lever's role, then evaluate. Examiners reward policy-mix reasoning at Level 3.